

Article | 12 June 2026

FX RATES UNITED STATES

Kevin Warsh navigates a hawkish Fed shift

Improved economic momentum and elevated inflation suggest the Federal Reserve will acknowledge the possibility of a future rate hike via new forecasts. New Chair Kevin Warsh isn't a fan of forward guidance though and will likely remain non-committal in his first press conference



We doubt that new Fed Chair Kevin Warsh will vote for a rate cut, despite Trump's demands for lower rates

Inflation and regained momentum swing hawkishly

Optimism is rising that we are inching closer to a deal to reopen the Strait of Hormuz, but even with a deal, global energy prices will likely remain elevated until at least early 2027. European and Asian inventory rebuilding will keep a strong bid in markets through the second half of the year. At the same time, uncertainty over the scale of damage to infrastructure in the region and the willingness of shipping companies to put their vessels back potentially into harms way, should the deal subsequently fail, limits supply. In consequence, we expect no real relief from higher prices this year.

The US economy is more insulated from Middle East risks than most countries due to its energy independence, but it is not immune. An abundance of natural gas and a lack of storage mean domestic prices have fallen, which is helpful for keeping utility bills in check. However, higher motor fuel costs are adding to cost pressures with spillover effects already in freight

rates and airline fares, with inflation breaching a three-year high of 4.2%.

Amid rising inflation, business surveys point to 2-2.5% GDP growth, the economy is adding jobs and equity markets are at record highs. Understandably, market expectations of potential Federal Reserve rate hikes have increased, with a 25bp rate hike priced in this year and around a 50% chance of a second such move next year.

Unanimous vote for stable rates

In terms of Wednesday's FOMC meeting, we expect the Fed to leave monetary policy unchanged, but we do expect a statement that puts greater emphasis on the possibility of an interest rate rise. Remember that last time, Stephen Miran, who has since vacated his governor position for newly appointed Fed Chair Kevin Warsh, voted for a rate cut while three other FOMC members – Beth Hammack, Neel Kashkari and Lorie Logan – wanted the removal of the perceived “easing bias”. The minutes to the meeting subsequently suggested more officials were uncomfortable with the language of the statement, and so we expect to see a unanimous vote in favour of keeping policy unchanged, but with a hawkish shift on language.

With Miran gone, we doubt that Kevin Warsh will choose to dissent against all the other 11 members by voting for a rate cut, despite his appointment as chair by a president who has demanded lower rates.

ING's expectations for the Federal Reserve's central projections

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	2.0	2.4	2.1	2.0
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	4.3	4.3	4.2	4.2
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	3.1	2.3	2.0	-
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	3.6	3.4	3.1	3.1
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

In the press conference, he will likely acknowledge that economic conditions do not justify rate cuts at this time. Nonetheless, he could reiterate his view that, in time, tech investment will boost US productivity, meaning faster growth without generating inflation. That would imply a lower neutral interest rate that justifies lower policy rates over the medium to longer term. He has also argued that the Fed's balance sheet is too large. He would like to shrink it relative to the size of the economy, which would be a de-facto tightening that can be offset by lower

policy rates.

Chair Warsh will also be questioned on updated Fed forecasts, which we expect to point to expectations of healthy growth and elevated inflation this year, with stable policy rates. But within the dot plot there may be more officials signalling that they think rates will be higher by the end of the year than there are those who think rates will be lower. However, Warsh has already suggested that the Fed talks too much and isn't a fan of forward guidance, so he will be keen to highlight that there are, in fact, two-sided risks and much can change between now and the end of the year.

An extended pause is our call

It is a very close call whether the Fed will hike rates this year, but on balance, we think it will instead choose to look through a near-term energy spike and hold rates steady for an extended period. The low-hire, low-fire economy means weak wage growth, with real household disposable income having fallen for three consecutive months. Consequently, elevated energy costs risk demand destruction that should help to dampen core inflation in time. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth, a waning influence from tariffs and eventual energy price falls mean that inflation could undershoot the target in the second half of 2027. This environment should give the Fed room to resume moving policy rates back to neutral next year.

Now's the chance for Chair Warsh to walk the talk on balance sheet reduction

This is one meeting where the focus could well be on balance sheet and liquidity management. Kevin Warsh came into the job in the wake of various suggestions that the Fed should reduce the size of its balance sheet. We covered the issue [here](#), and noted that at the end of 2005, the Fed's balance sheet was about 5.5% of GDP. Roll on 20 years, in and out of the global financial crisis and pandemic, and it's now 21% of GDP (quadruple). The driver was bond buying. Total bonds held by the Fed were around 5.5% of GDP 20 years ago. That now equates to 20% of GDP (almost quadruple). Bank reserves were purely regulatory in nature and a puny 0.1% of GDP 20 years ago. Today's bank reserves are closer to 10% of GDP (100-fold).

Kevin Warsh wants to 'fix it', it seems. The technicalities could require the sale of all mortgage-backed bonds (US\$2tr) and at least half of the Treasury bonds (c.US\$2.5tr). So that's some US\$4.5tr in total, and would bring Fed bond holdings back down to around 5.5% of GDP (pre-GFC proportions). That in itself is big, and raises questions about a doable pace. On the other side of the balance sheet there is the complication of transitioning from the current excess bank reserves environment back potentially towards a scarce regulatory bank reserves environment. On the former, a Congress-legislated special purpose vehicle tasked with taking

the bonds off the Fed's balance sheet has been mooted (so they would not be "sold"). On the latter, an easing in bank liquidity ratios would be required.

For now, it's all quite speculative. But what we do know is Kevin Warsh can't simply sell bonds and stop there. He would need to address both sides of the balance sheet, and make regulatory changes to bank liquidity requirements. This is the kind of meeting from which we could well learn more about all of the above.

Dollar can hold gains

The FX market goes into this FOMC meeting in a mildly dollar-bullish frame of mind. In fact, it was the last FOMC meeting in late April and the dissent against the easing bias which laid the foundations for the dollar rally on better US data over the last six weeks.

A removal of the easing bias in Wednesday's statement is widely expected and, as usual, the market will probably react to the median expectation for the policy rate over coming years. This presumably could present some upside risks to the dollar.

When it comes to the press conference, it is probably too early to expect Chair Warsh to push back against market expectations of Fed tightening. After all, the economy and asset markets are already performing well in the face of this energy shock.

Our FX bias would be for the dollar to stay bid against the relative low yielders and whose central banks are trying to look through the inflation shock. Depending on what is happening to energy prices and the risk environment, pairs like USD/CAD and USD/SEK could stay bid, while GBP/USD could stay offered. EUR/USD may well press 1.15 again, but the prospect of another European Central Bank rate hike in July should provide some insulation.

Wednesday's FOMC will come a day after the Bank of Japan meeting. A BoJ rate hike to 1.00% is widely expected, but deeply negative Japanese real rates leave the yen vulnerable. A slightly hawkish FOMC meeting could send USD/JPY well above 160 again and elicit more intervention. Japanese authorities are well aware, however, that intervention is just a containment exercise until energy prices come a lot lower, markets start to think about Fed easing again, and Japanese real rates are much closer to neutral. That looks like a story for the end of this year at the earliest.

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Article | 11 June 2026

Lagarde keeps the door open for further ECB rate hikes

European Central Bank President Christine Lagarde's comments at the press conference kept the door to further rate hikes open



ECB President Christine Lagarde at today's press conference in Frankfurt, Germany. A second rate hike after today's decision now appears more likely

The ECB has done it. Today, it became the first major central bank to increase interest rates as part of the fight against stagflationary pressures triggered by the war in the Middle East. It opted for a 25bp hike, bringing the deposit interest rate to 2.25%.

To be clear, this rate hike is more of a symbolic move to signal the ECB's willingness and determination to avoid being too late in carrying out its policy response. It's not a rate hike that will derail the eurozone economy, but a decision made with clear communication and reputation in mind; the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates, as suggested by Chief Economist Philip Lane in a recent speech.

More stagflationary pressures in staff projections but no reason for aggressive hikes

During the press conference, ECB President Christine Lagarde mentioned the broadening of inflationary pressures and indirect effects as the main reason for today's rate hike. Still, we can't shake the idea that the ECB is actually fighting ghosts from the past – more

specifically, its reaction that came far too late in responding to the inflation shock in 2021 and 2022. Remember that, at the time, the central bank lingered too long on the idea that an inflation surge driven by supply shocks was 'transitory' and could be looked through. If not for the experience of 2022, "transitory" could well be the label used today. So far, the increase in headline inflation has remained moderate. And while the knock-on effects of higher energy prices on other prices (e.g., transportation and food) will be hard to avoid, the latest survey-based inflation expectations have actually come down slightly.

This relatively well-behaved inflation trajectory is also reflected in the ECB's latest staff projections. Headline inflation is expected to come in at 3.0% this year, 2.3% in 2027 and 2.0% in 2028, slightly up from the March projections. Similar to our own forecasts, ECB staff expect inflation to drop below 2% in the second half of 2027. The GDP growth forecasts come in at 0.8% in 2026, 1.2% in 2027 and 1.5% in 2028, slightly down for 2026 and 2027 compared with the March projections. However, these growth forecasts have not incorporated the recent downward revision of first-quarter growth, meaning that the risk to this growth outlook is even more tilted to the downside than the ECB currently thinks. Overall, this is not a forecast that immediately calls for aggressive rate hikes.

Were there any other signals during the press conference?

During the press conference, Lagarde refuted the phrase 'insurance rate hike', claiming that today's move was nothing of the sort. She did so with almost the same verve with which she rejected the idea of 'stagflationary pressures' as well as the comparisons with 2022 at the April ECB meeting. On a more positive note, it seems as though someone, at least, follows our research. In all seriousness, the comment on the insurance rate hike suggests that today's decision was not a 'one and done' hike but rather a shift of the ECB's starting position.

The warning that inflationary pressures were broadening, as well as the emphasis on broadening indirect effects from higher energy prices, suggest that today's rate hike is not yet the end. However, at the risk of ending up on a blacklist at the ECB, what remains strange is the repetition of data dependency and a meeting-by-meeting approach in the context of the ECB's seemingly clear reaction function. Lagarde's comments on the different macro scenarios added to the confusion, with the ECB President at one point even mentioning rate cuts. Maybe the best description of the central bank's reaction function is what Lagarde herself mentioned during the press conference: "It will be what it will be."

All of this means that a second rate hike after today's decision, either in July or September, has become more likely. Still, as long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock with aggressive rate hikes at the cost of potentially worsening an economic downturn.

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BELGIUM

Belgium's economy: three things to watch

Belgium's economy is off to a soft start to the year, and the near-term outlook remains subdued. Higher energy prices are part of the story, but they are not the whole story. Fiscal consolidation is now starting to feed through to households, and that could make consumption less resilient in the second half of the year



We expect growth to be weak in Belgium this year as high energy prices weigh on business investment and household consumption

1. A weak first half, with industry still under pressure

Belgian GDP expanded by just 0.2% quarter-on-quarter in the first quarter (0.8% year-on-year). The positive surprise came from households: consumption rebounded by 0.6% after stagnating in the second half of 2025. But beneath the headline number, the picture remains fragile. Industrial activity contracted again, by 0.2% on the quarter, and the sector's value added has still not returned to growth compared with its level at the end of 2019!

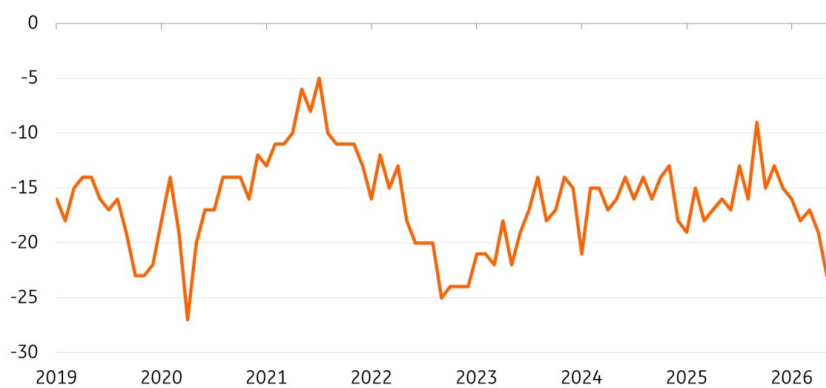
The first-quarter data say little about the economic fallout from the war in the Middle East. The first strikes came late in February and, in the early weeks of the conflict, households and companies probably still assumed that the shock would be temporary. Energy prices reacted quickly, but behaviour did not change fundamentally at that stage.

The second quarter looks weaker. Higher energy prices have clearly hit confidence among both companies and households. The deterioration is particularly visible in households' assessment of whether now is a good time to make major purchases. This energy shock is also being felt more directly than in previous episodes because the authorities have introduced virtually no offsetting measures for households or firms. The reason is straightforward: there is little room left in the public finances.

Against that backdrop, the National Bank's assessment of growth, based on Nowcasting models, point to stagnation in the second quarter, broadly in line with our own forecast. A slightly negative quarterly growth figure would not even come as a major surprise.

Chart 1. Belgian households are becoming less willing to make major purchases over the next 12 months

Consumer confidence indicator: opportunity for major purchase in next 12 months



Source: National Bank of Belgium

2. Fiscal measures are about to bite

The federal government has adopted a package of measures designed to reduce the public deficit while also lifting potential growth, mainly by increasing labour market participation. Many of these measures have now entered into force, or are about to do so. In an environment of weak activity and elevated inflation, three of them deserve particular attention.

Limiting unemployment benefits

Job creation remained weak in the first quarter, and sluggish growth is unlikely to help. Since 1 January, unemployment benefits have been limited to two years, whereas they were previously unlimited in duration. This will reduce the number of benefit recipients and generate savings for the federal government. But the macroeconomic impact depends on what happens next. The government's assumption is that people reaching the end of their entitlement will intensify their job search. If that proves right, the measure could support labour supply. If not,

the loss of income for the households concerned could weigh on consumption and growth in the second half of the year.

Making the labour market more flexible

The government has also broadened an existing scheme that allows people already in employment to take on an additional part-time job with flexible hours under highly favourable tax conditions. The objective is twofold: to help sectors facing flexible staffing needs and to allow workers to boost their income. In principle, this should support activity. But the measure also has limitations. It generates little revenue for the state, it may encourage some workers to reduce hours in their main job in favour of more lightly taxed flexible work, and could make it harder for unemployed people to access jobs in sectors where employers prefer flexible and lightly taxed labour. The extension of the scheme to all sectors will therefore need to be judged on whether it actually raises total employment.

Limiting automatic indexation

A further measure will take effect in July: wages will temporarily be indexed only up to €4,000. For social benefits and pensions, the ceiling will be €2,000. With inflation already above 4%, even a temporary limitation of indexation will squeeze purchasing power for some households. The government expects the impact to fall mainly on savings, assuming that the households affected have a relatively high saving rate. That assumption will be tested in the second half of the year. For now, we expect the measure to have a modest but negative effect on consumption momentum.

3. Public finances: Belgium gets some breathing space, but not a solution

Belgium's public finances remain under clear pressure, as reflected in recent sovereign rating downgrades by two agencies. The federal government is looking for €6-7bn in structural savings. If an agreement were reached quickly and measures were implemented as early as the second half of the year, the impact on growth could be material, especially as an adjustment of that size would be hard to deliver without some tax increases. For now, however, no concrete package has emerged, and a rapid agreement looks unlikely given the scale of the effort required. That may reduce the immediate hit to activity, but it also means that Belgium's fiscal position remains weak.

There is one piece of good news. The European Commission has decided, for now, to put the excessive deficit procedure against Belgium on hold. This is not the same as closing the procedure. But it does suggest that the Commission recognises the efforts already made and does not see a need to escalate the process at this stage.

Bottom line: weak growth, stubborn inflation

Taking all this together, and given the broader eurozone backdrop, we expect Belgian growth to remain weak this year, at around 0.7%, down from 1.0% last year. High energy prices should continue to weigh on business investment and household consumption, while fiscal measures are likely to become an additional drag. The National Bank's latest projections, published today, are even more cautious, with growth expected at 0.6%.

Inflation, by contrast, remains uncomfortably high. It is currently running above 4%, and we expect it to average 3.6% this year, slightly above the National Bank's 3.4% forecast. In short, Belgium faces a difficult mix: growth is losing momentum just as inflation and fiscal constraints leave policymakers with little room to cushion the shock.

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RATES SPARK

Rates Spark: Oil still key to ECB outlook

We had our 25bp ECB hike, though markets were probably expecting more commitment to future moves during the meeting. But lower oil prices turn out to be the bigger dovish driver. If tensions with Iran were to re-escalate, we could still see rates rise significantly higher



If oil prices remain above \$100 per barrel for a sustained time frame, we could see three rate hikes from the European Central Bank

ECB ready for more hikes but oil still the big unknown

[The ECB hiked](#) yesterday, as expected, but during the meeting markets were probably looking for a clearer commitment to future hikes to sustain the hawkish pricing. Nevertheless, [the broader rates picture](#) hasn't really changed. Markets continue to see a considerable chance of a July hike and are sticking to the view of two to three hikes in total. We still think two hikes are more realistic, but until we have more clarity on second-round inflation risks, we won't push hard against current pricing. And July seems like a realistic possibility too for the second hike, especially given the latest comments from governing council members who don't seem to push against that idea.

The big unknown remains oil, which continues to make big swings every day. This morning we're below \$90 for the first time. Even though just yesterday, US President Donald Trump threatened a military escalation. We think Brent oil can also still easily [make a move above \\$100](#) again. The longer the conflict remains unresolved, the more supply shortages will feed

into higher prices. This could already happen in July and potentially be a trigger for the next ECB hike.

In [our scenario](#) where oil surges far above \$100 for sustained periods, we see three hikes by the ECB. But we shouldn't discount the associated growth risks with tightening monetary policy. Higher oil prices will initially pose upward pressure on rates, but as inflation starts coming down in 2027, we will likely face a worsening economic outlook. In that case, the ECB would have to consider a steep easing path in 2027 and 2028, which would also bring longer rates down sharply.

Friday's events and market view

Data-wise, we have the University of Michigan sentiment indices, which consensus sees improving slightly in June. Apart from the headline index, the inflation components should be of interest. One-year inflation expectations are expected to rise slightly to 4.9%. We'll also be listening for comments from ECB speakers as these usually add more nuance to the official press conference. ECB speakers on the agenda include Finland's Olli Rehn and Germany's Joachim Nagel.

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FX

FX Daily: War is over – maybe

"We ended the war with Iran today," said President Trump yesterday evening. Brent crude fell 4% on the news, while short-dated US yields and the dollar fell 10bp and 0.8% respectively, and US equities jumped 1.5%. We have been here before, where an imminent peace deal touted by the White House has failed to materialise. Let's see what Iran has to say



The dollar is a little softer after US President Donald Trump touted an imminent peace deal with Iran yesterday

➔ USD: Peace deal may be close, legacy is a stronger dollar

Financial markets reacted with predictable optimism to news that another US-Iran peace deal may be imminent. Many investors are taking their cue from the oil market, where the surprising softness in energy prices over recent weeks has many guessing that oil traders have the inside track on peace negotiations. Who knows for sure, but it does seem that some progress is being made towards a new 60-day deal where the Strait of Hormuz would be opened, and Iran would be able to sell its oil.

Whether the Iranians want to hold out for better terms remains to be seen. So far, Iranian sources have yet to confirm agreement with the text in any Memorandum of Understanding. And the dollar has already retraced about a third of yesterday's losses.

For today, the market will again be headline-driven. Will Vice President JD Vance be getting on a plane to Europe to sign some kind of agreement? And more importantly, will we receive confirmation from Iran that it is happy with a deal and will also be sending a delegation to Europe this weekend? Expect the dollar to be bounced around today on the ebb and flow of these headlines.

But the legacy issue of this crisis has been the substantial loss of energy supplies and its inflationary shock sent around the world. Unless oil starts shipping freely in the Strait of Hormuz very soon, our [house call](#) is that energy markets could move close to a tipping point in July. In turn, we would be wary about expecting much lower oil prices from current levels.

With the fallout from the oil shock coming at a time of stable to positive US jobs numbers, investors are still wary of how the Fed will react. Short-dated US rates have come lower, but the market still prices 20bp of Fed tightening this year. It is hard to see that being unwound ahead of next Wednesday's FOMC meeting, where a new-look statement and a new set of forecasts could prove dollar supportive. In short, we do not think the dollar needs to sell off too much further, even if there is good news out of the Gulf today.

On today's US data calendar is the Michigan Consumer Sentiment. That is expected to remain weak. Also, look out for the 5-10 year inflation expectations reading. These jumped to 3.9% in May and are expected to be a little lower at 3.8% today. And of course, there will be much focus on SpaceX's debut on Nasdaq. It was priced at \$135 per share, and derivatives markets are pointing to a potential +35% open. An Iranian peace deal would be well-timed.

DXY has been holding up quite well despite a hawkish ECB and a potential ceasefire in the Gulf. We expect it to find continued support near 99.50.

Chris Turner

➡ **EUR: Hawkish ECB fails to lift EUR/USD over 1.16**

[Yesterday's ECB meeting](#) was perceived as hawkish, and we have already started to receive many ECB source stories of another possible rate hike in July. The problem for the euro yesterday was that the market was already pricing in quite an aggressive ECB tightening cycle of 75bp over the next nine months, and investors do not want to push that pricing any further. After all, the ECB is reacting to a stagflationary supply shock.

EUR/USD had been close to pressing support at 1.1500 before President Trump's intervention last night. But equally, we are still trading under 1.1600. This probably reflects the fact that the Fed's tightening genie has been released from the bottle, and unless we receive a surprisingly neutral/dovish set of communications from the Fed next Wednesday, the dollar should stay supported. In short, the Fed looks to be a bigger story than the ECB.

1.1585/1600 could prove the top of the day's range again, and it would probably take a close

above 1.1650 to unwind the recent optimism on the dollar.

Chris Turner

➔ **TRY: CBT and the market are waiting for the end of the US-Iran conflict**

The Central Bank of Turkey maintained its policy rate (1-week repo rate) at 37% and kept the interest rate corridor stable at 450 basis points, with the upper and lower bands remaining at 40% and 35.5%, respectively. We think the CBT has continued to keep an eye on both the growth and inflation outlook; the bank acknowledged that first-quarter GDP points to a slowdown in economic activity (to 0.1% quarter-on-quarter and 2.5% year-on-year), while recent leading indicators imply continued domestic demand weakness.

The CBT also acknowledged the slight decline in underlying inflation in May, while emphasising ongoing risks to the outlook on the back of geopolitical developments and high and volatile energy prices. So, the bank has remained cautious and “highly attentive to upside risks” given that the war has driven an upward shift in inflation expectations.

Overall, all policy options are still available to the CBT. In the near term, we think it will remain in wait-and-see mode before deciding whether to reduce the effective cost of funding back towards the policy rate. Currently, we see end-year inflation slightly below 30% and the one-week repo rate at 35%, with risks tilted to the upside.

The market saw little reaction to the CBT meeting and also remains in wait-and-see mode. With the central bank clearly taking the same approach, both sides now await progress in the US-Iran conflict, which significantly affects the CBT's reaction function. The market is only pricing in a return of the effective rate to the policy rate this year, but otherwise, the key rate should remain unchanged for a little longer than our forecast suggests (4Q26). FX also remains untouched, and USD/TRY continues on a steady upward trajectory.

Frantisek Taborsky

⬆ **CEE: Risk-on mood helps the region erase previous losses**

Yesterday's headlines about a possible end to the US-Iran conflict quickly switched the market back into risk-on mode, with CEE currencies benefiting before the end of trading. The zloty erased previous losses after touching the upper edge of the current 4.225-260 range. EUR/HUF tested new lows below 354, and a positive mood can be expected at today's opening. EUR/USD returned above 1.155, which should help CEE currencies to gain and reverse some losses from the previous days. From the perspective of oil prices at this moment, it seems that the current decline is not enough to change central banks' thinking. The genie is already out of the bottle, and the impact on inflation is already visible.

The Czech National Bank is likely already determined to hike rates next week, in our opinion, and even a quick end to the US-Iran conflict would not change this. Governor Ales Michl mentioned in today's interview that the June hike is live, and we may hear more in his TV interview later today.

The National Bank of Hungary may be a different story, and while a 25bp rate cut in two weeks is our baseline, a 50bp move cannot be ruled out. If we were to see a quick rally in the forint closer to 350 per euro in the post-conflict positive mood, it could change the NBH's thinking and speed up easing. However, at this point, the market will instead look for confirmation of yesterday's headlines and consider whether this is just short-term relief.

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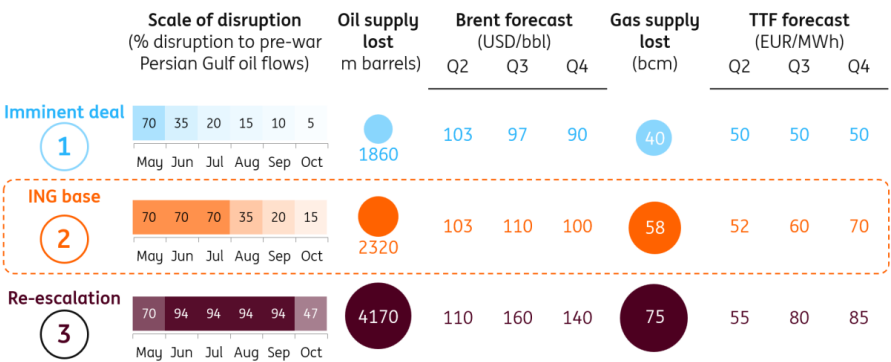
Article | 11 June 2026

In charts: our latest scenarios for energy prices, central banks and markets

Here s what happens to oil and natural gas prices if there s a quick deal or a severe re-escalation in the Middle East war – and how it would play out across financial markets

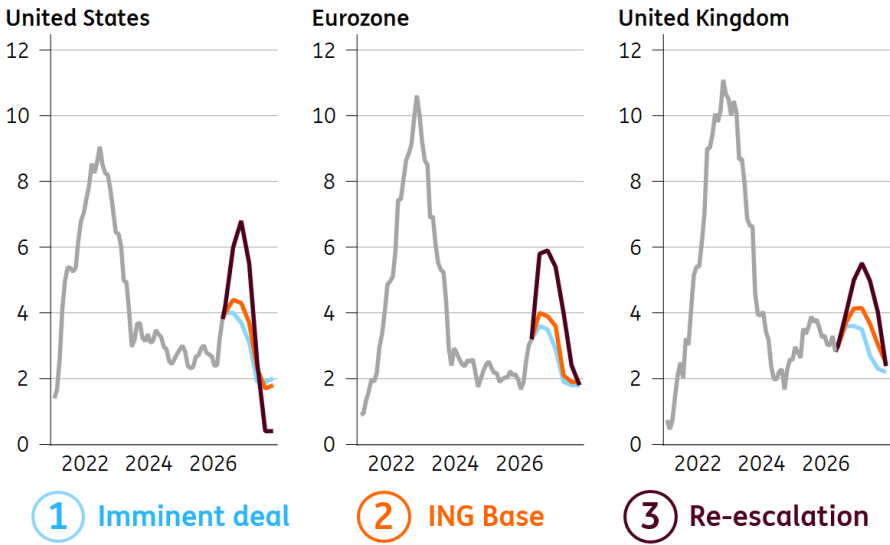


Three scenarios for energy markets



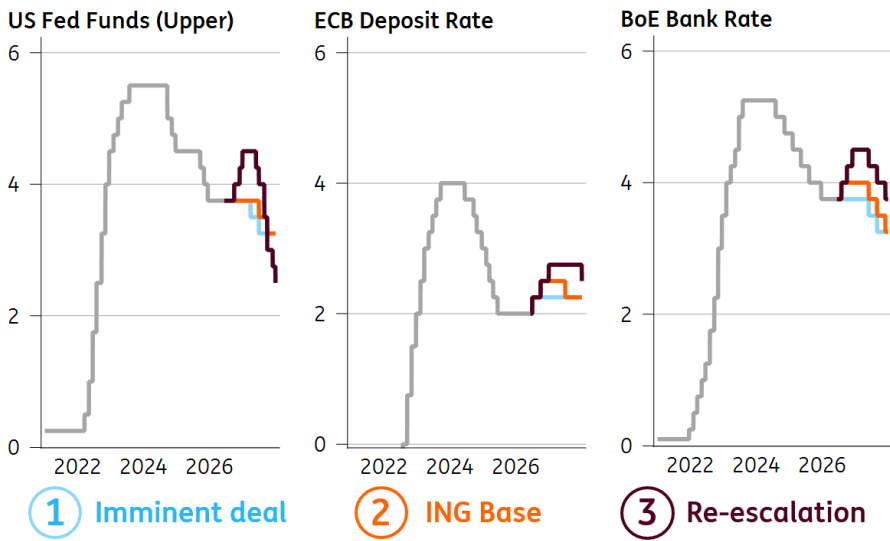
Source: ING

Three scenarios for inflation



Source: ING

Three scenarios for central banks



Source: ING

Three scenarios for markets

		① Imminent deal			② ING Base			③ Re-escalation		
	9 June	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	91	103	97	90	103	110	100	110	160	140
Dutch TTF gas (EUR/MWh)	48	50	50	50	52	60	70	55	80	85
US Inflation (YoY%)	3.8%	4.0	4.0	3.7	4.0	4.4	4.3	4.2	6.0	6.8
Eurozone Inflation (YoY%)	3.2%	3.2	3.6	3.5	3.2	4.0	3.9	3.3	5.8	5.9
ECB Deposit Rate (%)	2.00	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	4.00	4.50
2Y EUR swap rate (%)	2.86	2.75	2.65	2.55	2.90	2.90	2.75	3.00	3.10	3.20
10Y EUR swap rate (%)	3.09	3.10	3.00	3.00	3.15	3.15	3.10	3.20	3.25	3.30
2Y USD swap rate (%)	3.99	3.90	3.80	3.55	4.00	3.95	3.85	4.20	4.25	4.30
10Y USD swap rate (%)	4.12	4.05	4.00	3.90	4.10	4.10	4.10	4.15	4.20	4.25
EUR/USD	1.15	1.17	1.18	1.19	1.15	1.15	1.17	1.12	1.07	1.10

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Article | 12 June 2026

ASIA WEEK AHEAD AUSTRALIA CHINA

Asia week ahead: Rate meetings in Japan, Australia, Indonesia, Taiwan, Philippines

Japan, Australia, Indonesia, Taiwan and the Philippines will announce interest rate decisions. Key data releases include inflation updates from China and Japan



Asia Research highlights of the week

[Our latest views on the major central banks](#)

[Tech and FX: short-term volatility may cloud long-term trend](#)

[Asian policy tightening ahead as FX and inflation risks build](#)

[Philippine rate hike still on track despite softer inflation print](#)

[China's second-quarter slowdown underway amid soft consumption](#)

[China's deflation trend continues to solidify](#)

[Taiwan's trade boom prompts another growth upgrade](#)

[China trade outperforms amid tech boom and US rebound](#)

Japan: BOJ to tighten and disclose JGB purchase plans

The main event will be the Bank of Japan (BoJ) policy decision on Tuesday. We expect the BoJ to raise its policy rate by 25 bp to 1.0%, in line with market consensus. The BoJ will also announce its latest Japanese government bond (JGB) purchase plan. It's a close call, but we expect the BoJ to pause JGB tapering from next April, as market functioning has improved over the past year. A pause could help ease market concerns about further sharp rises in JGB yields. This would also reduce government concerns about higher market rates and allow the BoJ to focus more on policy-rate decisions.

Japan's May consumer price index should remain subdued thanks to government measures, though price pressures are likely to broaden. Chip and car exports should be the main drivers of export growth in May, while higher energy prices are expected to sharply boost imports.

Australia: RBA to hold rates as downside risks increase

We expect the Reserve Bank of Australia to stay on hold on Tuesday, as recent inflation data surprised to the downside. Moreover, the RBA is signalling that policy is in restrictive territory, but not locked into a one-way tightening path. A noticeable slowdown in growth at recent meetings and a clear upward drift in unemployment suggest the Bank is becoming more alert to downside risks.

Philippines: BSP to hike rates by 25bps amid higher inflation

Headline inflation in the Philippines eased as lower transport costs, driven by recent fuel price rollbacks, pulled the headline number down. Food inflation continues to drive overall price gains; it's becoming increasingly broad-based beyond rice. Risks to the inflation outlook remain firmly skewed to the upside. We maintain our forecast for CPI inflation to average 5.8% year-on-year in 2026, well above the 4% Bangko Sentral ng Pilipinas (BSP) target. In this environment, our base case for Thursday's meeting is that a 25bp rate hike is highly likely.

Indonesia: BI to keep rates steady after off-cycle hike

Following the recent off-cycle rate hike, we expect Bank Indonesia (BI) to keep policy rates unchanged on Thursday. Instead, BI is likely to prioritise alternative measures to attract foreign capital inflows and stabilise the rupiah. This approach reflects a delicate balancing act, as the central bank seeks to support currency stability while mitigating downside risks to economic growth.

China: Continued economic slowdown expected

China releases its key domestic activity data on Tuesday. We expect further confirmation of a second-quarter slowdown underway. We're likely to see further deterioration of retail sales

and fixed asset investments in May to -0.6% YoY and -2.8% YoY ytd, respectively. We expect industrial production to fare better, growing 4.3% YoY, buoyed by external demand. The 70-city property prices will also be released on Tuesday. We will learn whether the recent trend of slower declines and price recovery in tier-1 cities continues.

Taiwan: CBC to hold, but may open door on future hikes

We expect the Central Bank of the Republic of China (CBC) to leave rates steady on Thursday. However, it will be important to monitor the CBC's press conference to gauge whether there is any significant shift in tone suggesting a potential rate hike at future meetings. With inflation shooting above the 2% target in May and the prospect of inflation moving further above target in the next few months, we've pencilled in a rate hike in the third quarter.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 15 June				
India	1430	May WPI Inflation (YoY%)	-	8,3
	1830	May Unemployment Rate	-	5,2
Tuesday 16 June				
China	1000	May Fixed Asset Investment (YoY%. ytd)	-2,8	-1,6
	1000	May Industrial Output (YoY%)	4,3	4,1
	1000	May Retail Sales (YoY%)	-0,6	0,2
	1000	May Unemployment Rate	-	5,2
Japan	1100	BoJ Rate Decision	1,00	0,75
India	-	May Balance of Trade (USD bn)	-	-28,4
Australia	1230	RBA Rate Decision	4,35	4,35
Wednesday 17 June				
Japan	0750	May Exports (YoY%)	18,1	14,8
	0750	May Imports (YoY%)	12,5	9,7
	0750	May Trade Balance (JPY bn)	-300	301,9
	0750	Apr Core Machine Orders (MoM%/YoY%)	3/10	-9.4/5.9
Thursday 18 June				
Indonesia	1530	Rate Decision	5,5	5,5
Philippines	1430	Rate Decision	4,75	4,50
Taiwan	1630	Rate Decision	2	2,00
	1620	May Money Supply - M2 (YoY%)	-	6,45
Friday 19 June				
Japan	0730	May CPI (MoM%/YoY%)	0.4/1.6	0.1/1.4
	0730	May Core CPI (YoY%)	1,4	1,4

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Article | 12 June 2026

COMMODITIES, FOOD & AGRI

What's next for US copper import tariffs

The US tariff decision on copper imports is weeks away, with the Commerce Secretary due to deliver a recommendation to President Donald Trump by 30 June. The market has already begun pricing the outcome. The COMEX-LME spread has widened to around \$400/t, suggesting the market continues to price meaningful tariff risk into US-delivered refined copper



Supply tightness, US tariff-driven stockpiling and AI-linked power demand are supporting copper prices

Where we are now

LME copper is trading near record highs, with prices up around 10% year-to-date and holding up well against a difficult macro backdrop. Strong US jobs data has reinforced expectations that the Federal Reserve will keep policy restrictive for longer, while renewed tensions involving Iran have weighed on broader risk sentiment.

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are keeping copper more resilient than the broader complex, with the tariff decision now only weeks away.

What the tariff decision looks like

When President Trump announced a 50% tariff on copper in July 2025, refined copper was carved out. That exemption is now under review. The Commerce Secretary has until 30 June to

deliver an updated recommendation to Trump on whether and how to extend tariffs to refined copper. The original Commerce Department proposal called for a 15% tariff on refined copper imports effective January 2027, escalating to 30% in 2028.

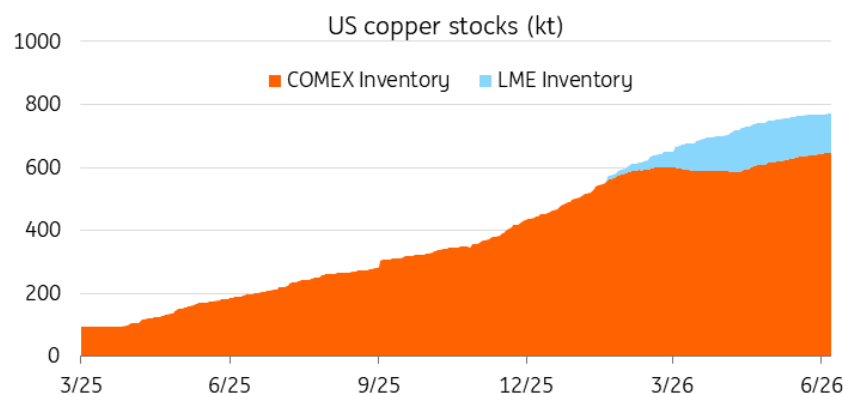
Earlier this month, Trump signed a proclamation adjusting the broader metals tariff framework – maintaining the 50% tariff on semi-finished copper products, lowering the domestic content threshold from 95% to 85% to qualify for preferential treatment, and broadening the scope to include additional semi-fabricated products such as electrical conductors and cables. New rates took effect 8 June. These changes are widely seen as preparatory steps ahead of the refined copper review, making it easier for importers to qualify for preferential treatment tied to domestically produced metal.

How the market has already repositioned

Since February, US copper imports have spiked in anticipation of the tariff deadline, encouraging additional shipments into the US and tightening supply in other regions.

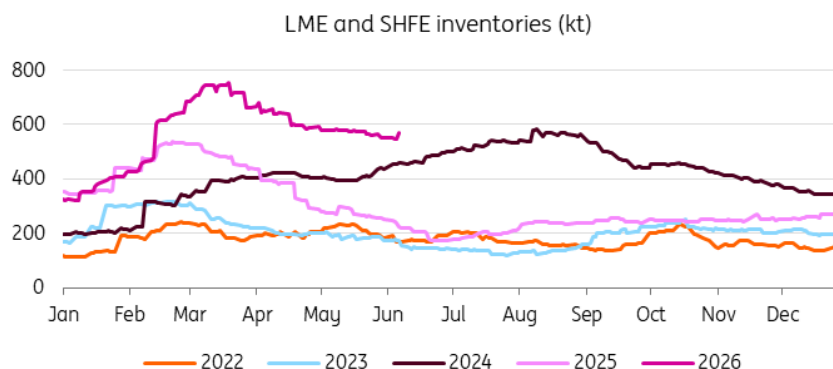
COMEX-registered inventories have risen to record highs. That build has come directly at the expense of LME and SHFE stocks, which have declined sharply over the same period.

COMEX stocks hit records, LME inventories also trend higher



Source: COMEX, LME, ING Research

Meanwhile ex-US inventories have declined sharply

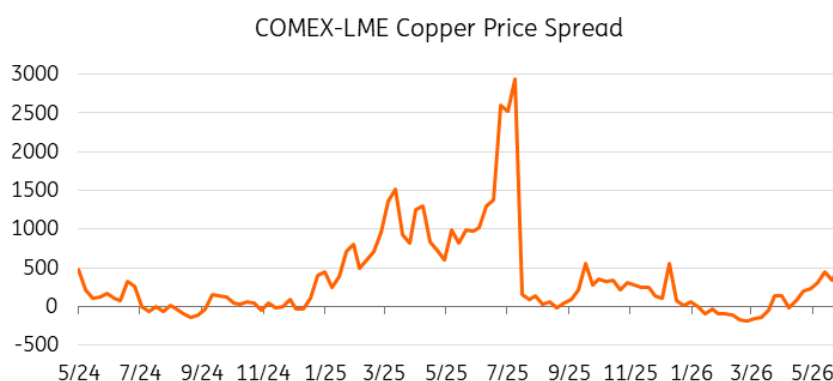


Source: LME, SHFE, ING Research

This is not a demand-driven inventory build. It reflects a geographic redistribution of available metal driven by tariff arbitrage. A significant volume of copper cathode is now economically 'locked' into the US market. While some of this metal could eventually be released if tariff expectations fade, the prospect of further trade policy measures means inventories are increasingly being held as strategic rather than 'arbitrageable'.

The COMEX-LME spread began re-widening from early 2026 as the 30 June deadline came into focus. It turned positive again in late March and has been climbing since, reaching around \$400/t in early June. At current levels, the spread is well below the peak of around \$2,937/t seen in late July 2025 when a 50% tariff on all copper was briefly feared. This suggests the market views a 15% phased tariff as a much more contained outcome.

COMEX-LME copper spread rewidens



Source: COMEX, LME, ING Research

What happens after the announcement

A confirmed 15% phased tariff from 1 January 2027 would likely increase the premium of COMEX over LME copper. In practice, both benchmarks would move higher. COMEX would be supported by stronger US import demand, while LME would also benefit as metal diverted away from the US tightens supply availability elsewhere.

The overall impact would be supportive for copper prices globally, although the larger move would likely occur in COMEX.

If the proposed increase to 30% in 2028 is brought forward or confirmed as a near-term policy objective, the premium could expand further.

A delay represents the clearest near-term downside risk for the spread, although the impact would likely be more limited than an outright rejection of tariffs. The arb would compress and the pace of inflows into COMEX would slow – but material already stockpiled in the US is unlikely to leave the market quickly. As long as tariff risks remain, a significant portion of those stocks is likely to remain effectively locked within the US market. The spread would narrow, but would probably settle at a structurally wider level than pre-2025 norms rather than collapsing back to parity.

An outright rejection of tariffs remains the most bearish case. US import demand would drop sharply, and with the stockpiling incentive removed, both benchmarks would likely come under pressure. US-held metal could then potentially re-enter the global market or at least stop being 'locked' in the US.

Supply outlook remains tight

We forecast the global copper market to move into a deficit of around 35kt in 2026, reflecting mine supply losses across Indonesia, Chile, the DRC and Zambia, alongside disruptions to Middle Eastern sulphur flows and sustained end-use demand in electrification and grid infrastructure. The tariff outcome does not change that underlying market balance.

However, it will determine how quickly the deficit becomes visible in exchange inventory data and how the price gap between COMEX and LME evolves.

We see LME copper broadly supported at current levels through 2Q, before easing modestly into 3Q and 4Q as the initial tariff stockpiling impulse fades and macro headwinds persist. The tariff announcement itself represents near-term upside risk to our near-term forecast. A front-loaded 30% tariff would put further upside in play. Conversely, a delay or outright rejection of tariffs represents the clearest downside risk to our view over the second half of the year.

The 30 June deadline and the COMEX-LME spread are the two indicators to watch most closely over the coming weeks.

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Article | 3 June 2026

UNITED KINGDOM

A Bank of England rate hike in July can't be ruled out

A June rate rise now looks unlikely amid a fall in oil prices and weaker economic data. Yet a hike in July is possible if energy flows through the Strait of Hormuz don't materially – and durably – improve over the next 10 weeks



The odds of a Bank of England rate hike in June have faded

A June rate hike no longer looks likely

Our view on the Bank of England has shifted over recent weeks.

[Six weeks ago](#), at the Bank's April meeting, it felt as though officials were edging closer to a rate hike. While policymakers looked notably more reluctant to tighten policy than their counterparts at the European Central Bank, most were also working off a more benign energy scenario than our own base case at a time when sentiment around the Middle East crisis remained fragile. Back then, we thought a June hike had become marginally more likely than not.

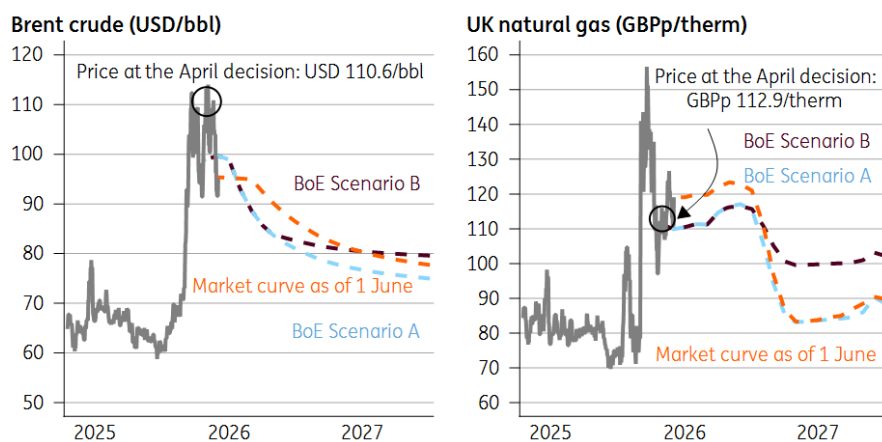
That's no longer the case. Markets are right that the odds of a hike this month have faded.

Yes, oil futures covering late 2026 and 2027 have indeed drifted higher. But that's been offset

by a \$15/bbl fall in spot prices. Even more remarkably, natural gas prices have remained subdued. That matters for Britain, given how heavily it still relies on gas and LNG.

Energy markets now sit somewhere between the Bank's April "scenario A" and "scenario B". Crucially, most officials judged at the time that neither scenario automatically warranted rate rises. In their view, simply not cutting rates – as likely would have happened absent the Iran war – already amounts to de facto tightening.

Energy prices are somewhere between the BoE's "scenario A" and "B"



Source: Macrobond, Bank of England, ING

Bank of England scenarios are based on our own calculation of the average daily futures curves in the 15 working days to 22 April 2026

We think it's particularly significant that futures prices for natural gas delivery in 6-12 months have fallen back close to pre-war levels. If that holds, July's 12% jump in household energy bills could be followed by an 8% fall in October.

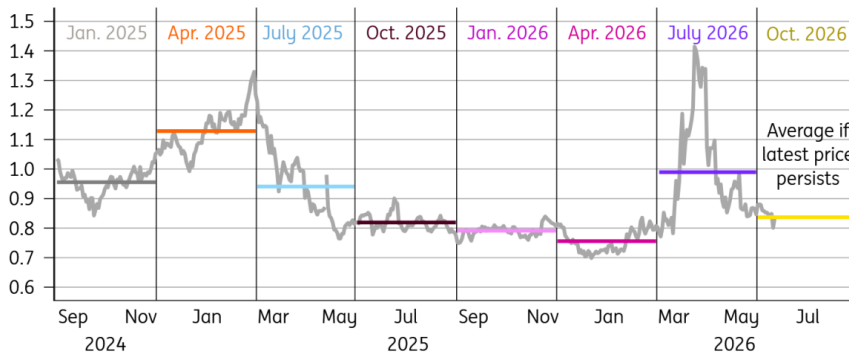
That would leave inflation peaking at around 3.7% in September before hovering near 3.5% into next spring – bearing in mind lower household energy bills into the winter will be offset by rising food inflation.

And that matters because the Bank has effectively drawn a line in the sand at 4%. Last summer, officials argued that inflation is more likely to persist if headline CPI breaches that level for any sustained period. Right now, it's not obvious that it will.

Household energy bills set to fall 8% in October on current futures prices

UK natural gas: 12 months ahead future (GBP/therm)

Solid horizontal lines show average of each Ofgem observation window



Source: Macrobond, ING

The quarterly Ofgem energy cap is calculated on a complex methodology, which heavily relies on natural gas futures 6-12 months ahead and averaged out over a three month observation window

If gas futures don't spike again, inflation peaks below 4%

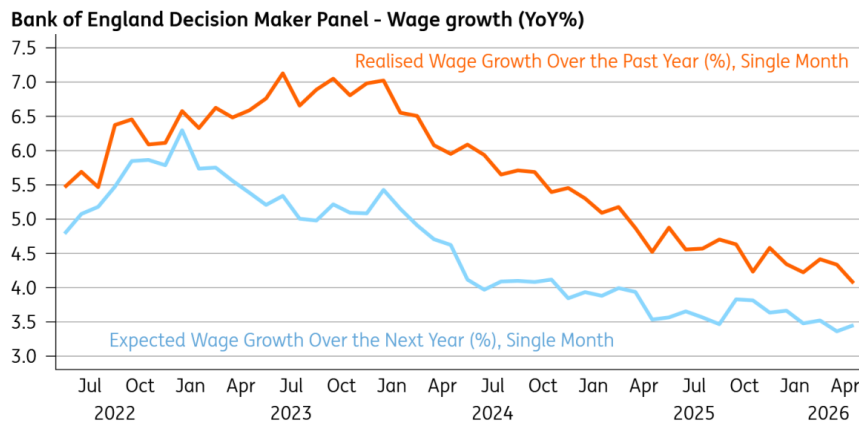
In fact, the inflation profile increasingly resembles the second half of last year, when CPI topped out at 3.8%. The catalysts are slightly different, though that period also involved a spike in food inflation, egged on by payroll tax and national insurance hikes.

Back then, hawks feared price pressures could become more entrenched. Inflation expectations had jumped sharply.

Yet that risk has not materialised – quite the opposite. Inflation data for April, which captures annual price resets at the start of the financial year, was well-behaved.

Meanwhile, the recent jobs data has been dismal. Payrolled employment fell sharply, though is liable to be revised up fairly heavily. Wage growth is dropping like a stone; private pay rose by just 0.6% annualised over the past three months, a far cry from the 8% recorded in 2023. Pay expectations among CFOs responding to the BoE's "decision maker" survey haven't budged since the crisis began, even if output price forecasts are a little higher.

Wage growth looks much more benign than four years ago



Source: Macrobond, ING

A July hike is possible if the Strait of Hormuz stays blocked

It all serves as a reminder that the UK economy is much less susceptible to second round effects than it was during the last energy shock four years ago. The economy is more fragile – and we put very little weight on the eye-popping 0.6% growth figure in the first quarter, which we think was amplified by seasonal adjustment issues.

So where does this leave rates?

Much still depends on whether a deal is reached in the coming weeks and whether that leads to a sustained recovery in energy flows. The longer the crisis drags on, the greater the risk of second-round inflation effects. For instance, our commodities team warns that natural gas prices are biased to the upside, as Europe increasingly competes with Asia for LNG cargoes.

Ultimately, central banks must weigh not just the supply chain disruption seen so far, but the risk that disruption persists through the summer and beyond.

That's why we're not ruling out a July hike if the Strait of Hormuz remains heavily disrupted. And it's why we're likely to see a greater number of officials vote for a rate hike later this month. BoE members Megan Greene and potentially Catherine Mann look likely to join Huw Pill in advocating for higher interest rates, even if Governor Andrew Bailey appears much less convinced.

We'll be taking a fresh look at our global house view on the Middle East and energy prices over the next week or so. But on our existing base case, which factors in a significant recovery in energy flows by July – and based on the current level of spot prices – the more likely scenario is a prolonged pause from the Bank of England.

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